

Information

Use the following information to answer questions (1-6):

A & B agreed to form a partnership with **Total capital \$800,000**. Partner (A)'s share in capital is \$300,000 and he will pay it in **Cash**. However, Partner (B) will contribute his share by presenting the following assets:

Asset	Book Value	Market Value
Building	140,000	200,000
Equipment	82,000	60,000
Inventory	100,000	125,000
Accounts Receivable	90,000	75,000
AFDA	10,000	-----

If the partners agree that Partner (B) has the right to pay or withdraw the difference between his contribution and his capital in **Cash** on the same date.

Question 1

Not yet answered

In the partnership formation entry for partner (B), Inventory value will be:

- ☐ a. Credit by \$100,000
- ☐ b. Debit by \$100,000
- ☐ c. Credit by \$125,000
- ☒ d. Debit by \$125,000
- ☐ e. None of the above

[Clear my choice](#)

Question 2

Not yet answered

In the partnership formation entry for partner (B), Accounts Receivable value will be:

- ☒ a. Debit by \$90,000
- ☐ b. Debit by \$75,000
- ☐ c. Debit by \$80,000
- ☐ d. None of the above

[Clear my choice](#)

Question 3

Not yet answered

In the partnership formation entry for partner (B), AFDA value will be:

- ☐ a. Credit by \$10,000
- ☒ b. Credit by \$15,000
- ☐ c. Debit by \$10,000
- ☐ d. Debit by \$15,000
- ☐ e. None of the above

[Clear my choice](#)

Question 4

Not yet answered

In the partnership formation entry for partner (B), Cash value will be:

- ☐ a. Credit by \$60,000
- ☐ b. Debit by \$60,000
- ☐ c. Credit by \$40,000
- ☒ d. Debit by \$40,000
- ☐ e. None of the above

[Clear my choice](#)

Question 5

Not yet answered

In the Opening Balance Sheet of the partnership at the formation date, cash value will be:

- ☐ a. \$170,000
- ☐ b. \$480,000
- ☐ c. \$530,000
- ☒ d. \$340,000
- ☐ e. None of the above

[Clear my choice](#)

Question 6

Not yet answered

In the Opening Balance Sheet of the partnership at the formation date, total assets equals:

- ☐ a. \$300,000
- ☐ b. \$1,000,000
- ☒ c. \$800,000
- ☐ d. \$500,000
- ☐ e. None of the above

[Clear my choice](#)

